

UNIVERSITY OF ZAMBIA

DEPARTMENT OF ECONOMICS

ECN 1215 TUTORIAL SHEET I-2014

1. Define economics and explain what is meant by the following terms:
 - (a) Scarcity
 - (b) Opportunity cost
 - (c) Production efficiency
 - (d) Absolute advantage
 - (e) Comparative advantage
 - (f) Invisible hand
 - (g) Mixed economy
2. Distinguish between positive and normative economics.
3. What is studied under macroeconomics and define the three main aggregates studied in macroeconomics?
4. State and explain three types of economic data.
5. Given the following data, complete the table below given that 2003 is the base year.

Year	2003	2010	2013
Aluminium Price	1200	1900	2800
Copper price	1500	3100	6400
Aluminium index	100		
Copper index	100		
Metal index			

6. Distinguish between nominal and real variables.

7. (a) Illustrate the circular flow of income.
 - (i) Assuming there are no savings
 - (ii) Assuming there are savings but without government and foreign sector.
 - (iii) With government and foreign sector
 - (b) Discuss the three measures of GDP.
 - (c) What should be included and excluded from these measures of GDP?
8. The following is information from national income accounts for a certain economy.

GDP at market prices.....	6000
Consumption.....	4000
Investment.....	200
Consumption of fixed capital.....	30
Imports.....	310
Indirect taxes	120
Net exports.....	-25
Factor payments from abroad.....	80
Factor payments to abroad.....	95

What is

- (a) Gross Domestic Product at basic prices?
 - (b) Gross National Product at market prices?
 - (c) Government purchases on goods and services?
 - (d) Exports?
 - (e) Net National Product at Market prices?
 - (f) National Income at basic prices?
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